

WITH A MEDIAN age of 28, India's population can power economic growth. But for decades, imparting skills and vocational training has been a challenge for policymakers and industry, putting the considerable demographic advantages that the country enjoys at risk. In fact, industry has for long complained that most of India's graduates are unemployable with little or no on-the-job skills and training. As per Mercer-Mettl's India's Graduate Skill Index 2025, just 42.6% of Indian graduates were employable in 2024, down from 44.3% in 2023. It attributed this to a drop in non-technical skills.

Nipun Sharma, CEO of TeamLease Degree Apprenticeship, a degree apprenticeship service provider, highlights the massive skill gap and lack of formal skilling. "Our education system continues to emphasise qualifications over skills. While the government is working hard to attract investments in areas such as semiconductors, renewable energy, and electronics manufacturing, apprenticeship adoption still remains low—only 0.27% of our workforce are apprentices compared to 3-4% in the UK or Germany," he says.

This is apparent on the ground with learning a skill or undergoing vocational training being a choice

forced either out of the economic necessity to earn quickly or lack of academic qualification to continue in the degree-based education system.

Renuka Chaudhary (name changed), a craft trainer at a government-run industrial training institute (ITI) in New Delhi, says though learning a skill can add to a degree from a college, there's not enough awareness about its benefits. Chaudhary, who did a computer science course from a polytechnic and has three decades of teaching experience, says not much has changed from the time she was a student. The ITI staff visits neighbourhood schools every year to make students in classes X and XII aware about this option.

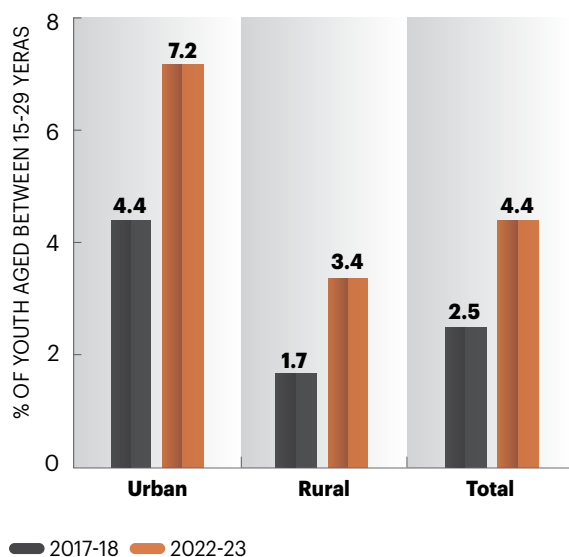
Avdhesh Sharma (name changed), her colleague and principal of the ITI, agrees. "Students can do a one-year or two-year course at the ITI and have a range of options—getting a job, starting a business or studying further." But often, those who pass out get discouraged and drop out as salaries offered are low. "Companies need to pay better. Why would anyone with this kind of training want to work at a salary of ₹10,000 or ₹12,000 per month?"

Though the government has put in considerable work in the past decade to impart skills, there are other issues beyond low pay—from institutional drift to the ever-changing nature of the skilling landscape—undermining its efforts.

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THE SKILLS GAP

- India's formal skill training remains low at 4.4%
- Globally, it is as high at 68% in the UK, 75% in Germany, 52% in USA, 80% in Japan and 96% in South Korea



SOURCE ECONOMIC SURVEY 2024

THE ECOSYSTEM

Skill development is not a new national objective. Even so, there was a decisive shift in 2014 after the government carved out a Ministry of Skill Development and Entrepreneurship (MSDE). Its flagship programme is the Skill India Mission. The National Skill Development Corporation (NSDC), set up in July 2008 as a not-for-profit, works under the MSDE on the Skill India Mission and the Pradhan Mantri Kaushal Vikas Yojana (PMKVY). It also works to encourage private sector participation in skilling initiatives.

The ministry provides skill training through an extensive network of skill development centres and institutes under various schemes such as the PMKVY, Jan Sikhshan Sansthan, National Apprenticeship Promotion Scheme, and Craftsman Training Scheme through ITIs. Industry helps with course design. The National Council for Vocational Education and Training is the regulator responsible for upholding standards.

Since 2014, the MSDE has trained and "empowered" 60 million Indians through various schemes. Of this, over 16.3 million have been trained under the flag-